AFRO DELI WOODBURY — Investor One-Pager

$300K All-Equity Plan | v2 (September 2026)

Concept: Afro Deli franchise — Woodbury, MN

Format: Fast-casual African-Mediterranean fusion (all-halal)

Space: 1,500–1,800 sq ft (second-generation restaurant preferred)

Capital Structure: 100% investor equity — no debt, no SBA, no personal guarantee

Opening Timeline: Franchisor training wks 18–22 · soft opening wk 22 · grand opening wk 24 (Section 7.7)

Investment Overview

Total Raise	**$300,000** (Section 9.2)
Structure	100% investor equity (no debt, no SBA, no personal guarantee) — Section 9.2
Operator Contribution	$0 (Structure A, recommended) or $20,000 (Structure B) — Section 8.5
Investor Contribution	$300,000 (Structure A) or $280,000 (Structure B) — Section 8.5
Use of Funds	$277,000 startup + $23,000 working capital (Section 9.1)
Projected Yr 1 Revenue	$637,650 (Section 9.4)
Projected Yr 1 EBITDA	**$93,478 — 14.7% margin** (Section 9.4)
Projected Yr 1 Free Cash Flow	$88,478 (EBITDA − $5,000 maintenance capex) — Section 9.4
Project-Level Return (Yr 1)	**31.2%** (EBITDA $93,478 ÷ $300,000) — Section 9.4
Investor Cash Return (Yr 1)	**$62,687 — 20.9%** (Section 9.9)
EBITDA Break-Even	**Month 2** (month-2 EBITDA = $297) — Section 9.6
Cumulative Cash Positive	**Month 3** (Section 9.6)
Year 1 Investor Terms	8% cumulative preferred + 60/40 profit split (Appendix G)

Budget Breakdown — $300,000 (Section 9.1)

Category	Cost	Notes
Franchise Fee	$35,000	Assumed; verify vs. FDD Item 5
Build-Out / Leasehold Improvements	$115,000	Second-gen space; **net of ~$45,000 landlord TI** (gross ≈ $160,000)
FF&E (incl. POS hardware)	$55,000	Used/leased where sensible
Permits, Licenses & Filing Fees	$10,000	City + state + health
Technology & POS	$8,000	Toast hardware + setup
Initial Inventory / Smallwares	$14,000	
Pre-Opening Marketing & PR	$13,000	Capitalized
Professional Fees	$10,000	Franchise counsel, CPA, entity formation, PPM review
Build-Out & FF&E Contingency (~10%)	$17,000	Exactly 10% of build-out + FF&E ($170,000)
Working Capital Reserve	$23,000	Covers modeled operating trough (−$1,965) ≈ 12×
TOTAL	**$300,000**	

Insurance (~$8,000 Year 1) is carried as an operating cost in Other OpEx — not capitalized (Section 9.1).

Monthly Projections — Conservative Ramp (Sections 9.3 / 9.5)

50 → 185 covers/day • $15.00 avg ticket • 26 days/mo • 29% COGS

Month	Covers/Day	Revenue	EBITDA	Cumulative CF
M1	50	$19,500	-$1,965	-$1,965
M2	70	$27,300	$297	-$1,668
M3	95	$37,050	$3,124	+$1,456
M4	115	$44,850	$5,386	+$6,843
M5	130	$50,700	$7,083	+$13,926
M6	145	$56,550	$8,780	+$22,706
M7	155	$60,450	$9,910	+$32,616
M8	165	$64,350	$11,042	+$43,658
M9	170	$66,300	$11,607	+$55,264
M10	175	$68,250	$12,172	+$67,437
M11	180	$70,200	$12,738	+$80,175
M12	185	$72,150	$13,304	+$93,478

Year 1 Summary (Section 9.4)

Metric	Amount
Revenue	$637,650
COGS (29%)	($184,919)
Gross Profit	$452,732
Operating Expenses	($359,253)
EBITDA	**$93,478 (14.7%)**
Less: maintenance capex	($5,000)
Free Cash Flow	**$88,478**
Project-level return on $300K	**31.2% (EBITDA basis)**
Investor-level Year-1 cash return	**$62,687 — 20.9%**

One cash basis throughout: EBITDA is the operating metric; free cash flow (EBITDA − maintenance capex) is the distribution basis (Section 9.4).

Investor Return Structure (Section 9.9 / Appendix G)

Component	Amount	Year 1
8% cumulative preferred on $300K	$24,000/yr	$24,000
Remaining after preferred ($88,478 − $24,000)	$64,478	—
60/40 split (investors/operator)	$38,687 / $25,791	—
Total Year 1 investor cash return		**$62,687 — 20.9%**
Operator Year 1 (distributions + salary)		$25,791 + $60,000 = $85,791

Alternative (8% preferred + 50/50): investors $56,239 (18.7%); operator $32,239 + $60,000 salary (Section 9.9).

Two return measures, kept distinct (Section 9.9): project-level **31.2%** (EBITDA $93,478 ÷ $300K) vs. investor-level **20.9%** ($62,687 distribution ÷ $300K). These are not the same number and are never conflated.

Stress Case & Slow-Ramp (Sections 9.10 / 9.12)

Metric	Base	Stress (−20% covers, 32% COGS)
Revenue	$637,650	~$511,680
EBITDA	$93,478	**$36,090**
Margin	14.7%	7.1%
Project-level ROI on $300K	31.2%	12.0%
Cash position	Positive M3	Positive all year
Investor distributions	$62,687 (20.9%)	~$31,254 (10.4%)

Slow ramp (185 covers by Month 18): Year-1 revenue ~$468,000, EBITDA ~$25,320 (5.4%), cumulative positive ~Month 8–10 — covered by the $23K working capital + $17K contingency (Section 9.12).

Capital Structure Options (Section 8.5)

Structure	Operator cash	Operator compensation	Investor terms
A — Sweat equity (recommended default)	**$0**	$60,000 salary + 40% of profit after the 8% preferred	100% of the $300K; 8% cumulative pref + 60% of residual
B — Skin in the game	**$20,000 (6.7%)**	$60,000 salary + 35% of profit after the 8% preferred	$280,000 (93.3%)

Under Structure A the operator's profits interest vests over 4 years (1-year cliff). **Decision required from the operator before the PPM is drafted** (Section 8.5).

Five-Year Outlook (Section 9.11)

Metric	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue	$637,650	$780,000	$842,000	$885,000	$925,000
EBITDA	$93,478	$148,000	$168,500	$182,000	$195,000
EBITDA margin	14.7%	19.0%	20.0%	20.6%	21.1%
Free Cash Flow	$88,478	$141,000	$160,500	$173,000	$185,000
Cumulative FCF	$88,478	$229,478	$389,978	$562,978	**$747,978**

5-year cumulative free cash flow $747,978 = 249% of the $300,000 invested (Section 9.11).

Investor waterfall (Section 9.13):

Year	Free Cash Flow	Preferred (8% cum.)	60% to investors	Investor cash
1	$88,478	$24,000	$38,687	**$62,687**
2	$141,000	$24,000	$70,200	**$94,200**
3	$160,500	$24,000	$81,900	**$105,900**
4	$173,000	$24,000	$89,400	**$113,400**
5	$185,000	$24,000	$96,600	**$120,600**
Total	**$747,978**	**$120,000**	**$376,787**	**$496,787**

Investor IRR: ≈17.5% (distributions only) → ≈39% with the Year-5 buyout (Sections 9.13 / 9.15).

Term Sheet & Exit (Appendix G / Section 9.15)

- **Vehicle:** Minnesota manager-managed LLC; manager: the Owner-Operator. **Raise:** $300,000 via Reg D 506(b); minimum investment $25,000.
- **Preferred return:** 8% per annum, **cumulative, compounding quarterly**, on unreturned capital until paid.
- **Distribution basis:** Distributable Cash = EBITDA − maintenance capex − debt service − reserves (minimum operating cash floor $15,000 + accrued tax reserve) — not "net income," not "EBITDA" (Appendix G item 4).
- **Distributions:** quarterly in arrears, 100% of Distributable Cash up to the preferred, then **60% investors / 40% operator**; no catch-up. Mandatory annual tax distributions (Appendix G items 5–6).
- **Exit / liquidity:** operator buyout right from the end of Year 5 at **4.0× trailing-twelve-month EBITDA** (floor: invested capital + accrued preferred), otherwise a **mandatory marketed sale in Year 6**; drag-along + tag-along; transaction costs capped at 3% (Section 9.15).
- **Illustrative Year-5 value:** 4.0 × $195,000 = **$780,000** (3.5× floor = $682,500). Investor proceeds ≈ **$588,000** at 4.0× — $300,000 preferred principal returned + 60% of ($780,000 − $300,000) — plus prior distributions (Section 9.15).

Competitive Advantages (Sections 2.1 / 4.1 / 13)

- **Proven model** — 3 existing Twin Cities locations, 12+ years, $1.37M combined annual net sales
- **No verified direct competition** in Woodbury — no African-Mediterranean fusion concept
- **Catering engine** — 25.7% of sales at existing locations; Woodbury models 15–20% → 25% by Year 3
- **Woodbury demographics** — ~75,000 residents (+12% since 2020), $117K median household income, 30–40% daytime surge
- **Delivery** — 17.1% of sales, matched to existing locations
- **All-halal positioning** — trust signal with minimal competition

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Key Risks & Mitigants (Section 10.2)

Risk	Mitigation
Slow ramp	Projections 15% below existing-location averages; slow-ramp scenario modeled (Section 9.12)
Build-out cost overrun	Second-gen space required; lease contingent on kitchen inspection; $17,000 (10%) contingency
Equipment failure	$5K/yr maintenance capex + repair reserve; leasing options for key items
Catering slower than expected	Not dependent on catering; even at 0%, lunch traffic fills; Month-2 break-even sensitivity disclosed (Section 9.6)
Key-person risk	Day-1 General Manager hire (not deferred); written SOPs; key-person life/disability insurance $500K–$1M with LLC as beneficiary
Delivery commission creep	Commissions a disclosed line (~26% modeled); delivery-menu price markup + in-house Toast ordering

Use of Funds Summary

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$277,000 — Startup Costs (one-time)
$ 23,000 — Working Capital Reserve
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$300,000 — Total
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No debt service = all cash flow goes to operations and owners, after the 8% preferred return.

Prepared September 2026 | Based on the Afro Deli Woodbury Franchise Business Plan v2 (All-Equity Investor Structure).

Projections are estimates pending FDD verification, site selection, and final lease terms. This document is a business plan, not an offer to sell securities; any offer will be made only through a private placement memorandum to eligible investors.